software services, news agency services, royalties, management services and business services, etc. The software services comprise Information technology (IT) and IT-Enabled Services (ITES).

B. Transfers

Transfers include grants, gifts, etc., which do not have any quid pro quo. Without any quid pro quo means that it need not be compensated or reciprocated. Once it is received it need not be repaid.

C. Income

Income includes transactions regarding income from investments in the form of dividends, profit and interest from loans, rent from house property and income generated through employment.

Remittance is directly earned by labour which is a factor of production and incomes like dividend, profit and interest are earned by capital which is also a factor of production. So the income from both these heads is called factor income services.

Current Account Balance

Current account balance is the sum of the items 3 and 4 viz, trade balance and net invisibles.

Current account balance = Trade balance + Net invisibles.

If the current account balance is positive, it is said to be surplus which means favourable current account balance. If the current account balance is negative, it is said to be deficit also called as unfavourable current account balance.

II. Capital Account

Capital account transactions are two way and multiple transactions. It means paid money can be recovered through periodical income